NER

University of Nottingham's Student-led Economics Journal

October Report

A New Age *of* Asset Management & Global Capital Flows

THE SURGE IN PRIVATE CREDIT
Examining the Risks, Resilience, and Future of the Asset Class

A GREEN MIRAGE IN BUENOS AIRES
Dissecting Argentina's Search for Sustainable Growth through Green Investments

GEOPOLITICAL PORTFOLIOS
Sifting Through the EU's De-risking Agenda and How it is Reshaping Capital Flows

In Partnership with ARES



From the Editor
Talha Haroon

Welcome to the Nottingham Economic Review's October feature report, A New Age of Asset Management & Global Capital Flows.

In every era of finance, there comes a point when old assumptions begin to fray – we are living through such a moment. For decades, asset managers have sifted through term sheets and market instruments to channel their innate ingenuity; the rise of complex products, structured investments, and alternative strategies reflects that ambition. Private markets now rival public ones in scale; capital has become more concentrated, yet more dispersed; and risk has migrated across new geographies.

Economics and finance have always been more than the sum of their models or transactions. They are, at their core, systems of interpretation – ways of assigning meaning to uncertainty and transforming possibility into structure. As those interpretive systems evolve, so too does the balance of the global order. Today's money managers must not only value assets but also mediate political risk, environmental transition, and technological disruption. In that sense, the turbulence of global uncertainty has made asset management not merely a financial discipline, but an increasingly geopolitical one.



Yet, as I'm sure all readers are aware, the events of recent months – from the collapse of First Brands to the growing strains in sovereign debt markets – have underscored the fragility that often accompanies innovation.

The very structures designed to diversify exposure can also obscure it. Underpinned by a relentless search for yield, investment management has evolved into a contest for influence, where capital flows no longer simply respond to markets but actively reshape sectors, industries, and entire economies.

In light of these shifts, our writers trace how power, policy, and perception intersect in the modern financial order – from the ascent of private credit to the politics of green investment in Latin America, and beyond. Beneath each of these stories lies a shared question: whether global finance can balance ingenuity with integrity in a world defined by volatility.

I would like to extend my gratitude to Mike Dennis (Ares Management), Ashita Bhatia (Financial Conduct Authority), and Mike Harrison (J.P. Morgan) – all distinguished Nottingham alumni – for their time, insight, and generosity in contributing to this report. A special thanks also goes to Ares Management, whose support of our outreach efforts helped ground this initiative in a practitioner perspective. It is our hope that this report contributes, in some small way, to more informed decision-making as we navigate this evolving financial landscape.

With best regards,

Talha Haroon
Editor-in-Chief

A World of Editorial Voices *One Review*

The NER Global Fellowship brings together emerging economists, political thinkers, and writers from universities across the world – each contributing a regional perspective to a shared conversation on global economics and current affairs.

What began as a small editorial experiment at the University of Nottingham has evolved into a constellation of voices spanning leading institutions. Our Fellows combine academic rigour with lived insight, reflecting the Review's belief that understanding the global economy requires more than one vantage point.

Writer Destinations



The Architecture *Of* **Private Capital**

This section examines how private capital is reshaping global finance, from the rise of private credit and AI-driven investment to healthcare equity and beyond. Coupled with industry insights from Ares Management's Mike Dennis, we trace the evolving dynamics, risks, and moral frontiers of the rising asset class.

Surging Private Credit: Risks, Resilience, and Global Finance	05
Feature Q&A with Mike Dennis, Partner and Co-Head European Credit at Ares Management	08
Encoded Economies: AI and the Next Frontier of Capital	11
Private Equity in Healthcare: Balancing Efficiency and Values	14
Searching for Wealth: Asset Management in Scotland	17



Surging Private Credit: Risks, Resilience, and the Future of Global Finance

Deyab Syed

American asset managers sit at the center of global capital allocation. As public-market flows soften and investors seek yield with tighter control over risk, financing strategies increasingly favour private credit. In the United States, the asset class has expanded from roughly $46 billion in 2000 to over $1 trillion by 2023, driven primarily by direct lending (Fillat et al., 2025). Compounded by the market rebound of 2024–2025, the market has been propelled to record highs. Yet, growth has been uneven: the Americas experienced slower organic inflows even as managers doubled down on private market strategies (Torbey & Kwek, 2025).

The transformation to private credit has deepened cross-border financial linkages while amplifying the need for transparency and sound governance. Regulators have flagged the leverage and opacity inherent to non-bank credit as systemic risks to market visibility (Financial Stability Board, 2024). In light of this fundamental shift in global finance, the following analysis examines how American asset managers are recalibrating the balance between public and private markets, how these shifts are reshaping global capital flows, and why transparency and discipline are central to sustaining financial stability.

From Public to Private: The Reconfiguration of U.S. Capital Markets

Public-market flows softened through 2024–2025 as allocators increasingly favored alternative strategies. By mid-2025, global assets under management reached $147 trillion, yet U.S. open-ended fund flows declined 22% year-over-year (Torbey & Kwek, 2025). Private-market fundraising also decelerated, falling to $1.1 trillion in 2024 from nearly $1.7 trillion in 2021. However, semi-liquid and evergreen vehicles within U.S. private-wealth channels expanded to $348 billion in AUM, drawing $64 billion of new inflows (Torbey & Kwek, 2025). In 2023, broadly syndicated loans totaled $1.3 trillion, high-yield bonds $1.6 trillion, and commercial-bank C&I loans $2.8 trillion, indicating the increased leverage of private credit among mainstream credit channels (Fillat et al., 2025).

Rising interest rates and tighter bank credit conditions have pushed more companies toward direct lenders. According to the Boston Fed, nearly all publicly listed business development companies – the backbone of U.S. private credit – maintain secured bank credit lines. This indicates that banks now provide liquidity while asset managers originate and manage loans, complementing the traditional banking system (Fillat et al., 2025).

Together, these shifts signal a growing preference for financing conducted privately through vehicles designed for speed, con-

Deyab is an emerging political economist and policy researcher, graduating from the University of California, Davis with dual degrees in Economics and International Relations. His work explores the intersection of law, technology, and global political economy. He is a North America Fellow at the NER.



trol, and bespoke terms. With heavily regulated banks in public markets, the turn towards private credit thus reflects both cyclical and structural factors: heightened rate volatility has weakened the appeal of traditional bond funds, while persistent underperformance and fee compression have eroded confidence in active management. Consequently, capital is moving away from mark-to-market public instruments toward private structures that still depend on banks for liquidity and backstops. This does not herald a complete division in the credit system, but rather a reconfiguration, where private markets increasingly shape the flow and structure of capital (Fillat et al., 2025; Torbey & Kwek, 2025).

Shifting Strategies and Investor Adaptation

Amidst a volatile global recovery, asset managers are confronting a paradox of scale without leverage, as record-high valuations have not translated into stronger profitability. McKinsey notes that while industry revenues rose by double digits in 2024, margins expanded by barely one percentage point as technology, distribution, and staffing costs climbed 7% year-over-year (Torbey & Kwek, 2025). The industry's cost base has now reached roughly $167 billion – evidence that growth has come with diminishing efficiency. Firms heavily concentrated in traditional active strategies continue to suffer structural outflows, while multi-asset and alternative platforms – especially private credit – absorb the bulk of new allocations.

According to Morningstar's Active/Passive Barometer, only 31% of U.S. active equity funds outperformed their passive peers in the twelve months through June 2025, and a mere 8% of large-cap active funds have beaten the market over the past decade (Armour et al., 2025). Persistent underperformance, combined with higher costs and transparency pressures, has driven investors toward domains where active management retains an edge – namely through origination, structuring, and direct engagement rather than index based competition.

In private credit, institutional fee studies show median management fees of around 1.15% and carried interest near 15% (Callan, 2023). These vehicles provide steadier income streams and lower mark-to-market volatility than public-market funds constrained by fee compression and benchmark tracking. Additionally, with investors increasingly allocating to illiquid assets to reel in higher yields and diversify away from the volatility of public markets – especially in an environment where traditional fixed-income returns remain compressed in real terms – asset managers are taking a more active role in structuring deals, managing risk, and setting lending terms. In doing so, they are not just deploying capital but influencing how credit is cycled across markets, reshaping the mechanics of global liquidity in the process.

First Brands Group: The Governance Test for Private Credit

Although the rapid expansion of private credit has transformed the structure of capital intermediation, recent events have exposed both its vulnerabilities and the lessons they offer. The

> “In an environment where traditional fixed income returns remain compressed, asset managers are taking a more active role in structuring deals, managing risk, and setting lending terms”

collapse of First Brands Group in September 2025 – and its reverberations across global finance – has underscored how opacity within private markets can destabilize the broader system. The U.S. auto-parts manufacturer filed for Chapter 11 bankruptcy with over $10 billion in liabilities and nearly $2 billion in previously undisclosed factoring arrangements (Azhar et al., 2025). Its debt-fueled growth left more than 30 creditors, including UBS, Jefferies, and SouthState Bank, holding unsecured claims. Within days, Jefferies and UBS disclosed a combined $1.2 billion in exposure through funds that had purchased First Brands' trade-finance receivables, heightening concern over hidden leverage embedded in private-credit channels (Saini, 2025).

While the case illustrates how financial risk increasingly migrates between regulated banks and shadow-credit markets, it also presents an opportunity to strengthen the foundations of private finance. The bankruptcy coincided with fraud-related losses at Zions and Western Alliance – two major U.S. regional banks – triggering a sell-off and renewed scrutiny of underwriting standards (Gregg, 2025). Analysts suggest that the relentless search for yield has, at times, diluted due diligence standards, blurring the line between prudent risk-taking and risk transfer.

The turbulence has prompted a policy and industry reassessment to encourage better disclosure practices and tighter alignment between asset managers and their bank counterparties. For asset managers, the flexibility that makes private credit attractive also demands stronger transparency and discipline. Sound governance built on market fundamentals is essential in ensuring that private capital strengthens rather than strains the financial system.

Conclusion

The rise of private credit has positioned asset managers at the very centre of liquidity creation in global finance. As public-market flows wane, their role has evolved from passive asset accumulation to active capital engineering. This transformation offers higher yields, greater control, and broader reach – but it also carries heavier responsibility. Opaque credit structures and bank-financed vehicles can quickly transmit stress across markets, underscoring the need for stronger oversight.

Sustaining this new era of growth will depend on transparency, disciplined underwriting, and accountability in how capital circulates. It is clear that private credit and asset management is not just about chasing yield, but more importantly about stewardship. Those who navigate this powerful but volatile asset class with clarity and foresight will shape the next chapter of global finance.

Scan for References



ARES

The Rising Tide of Private Credit
A Practioner's View



Mike Dennis is a Partner and Co-Head of European Credit at Ares Management. He serves on the Ares Operating Committee and sits on the European Direct Lending, European Liquid Credit, and Asia Direct Lending (Australia) Investment Committees. Prior to joining Ares in 2007, Mr. Dennis was Head of the London Financial Sponsor Group at Barclays Bank, where he focused on originating middle market financing opportunities. Mr. Dennis holds a B.Sc. from the University of Nottingham and University of Manchester Institute of Science and Technology and an M.B.A., with high honors, from the University of Chicago Booth School of Business.

From your perspective, how has the global investment landscape evolved over the past few years, and what broad structural themes do you think will shape the trajectory of global markets going forward?

One of the biggest ongoing structural shifts across global markets is the continued movement of assets from public to private markets, which shows no signs of slowing. For example, companies are choosing to stay private for longer, especially in the mid-cap space, where the conventional rationale for going public is becoming less compelling to many management teams.

Underlying this secular trend is, among other things, the changing orientation of global capital allocators from traditional asset classes – such as public equities and fixed income – towards alternative assets, such as private credit and real estate, as they continue searching for yield. I expect this re-allocation to accelerate in the years ahead, if nothing else because a significant number of global investors continue to be underweight alternatives in their portfolios.

Within this environment and based on your expertise, how do you see European credit positioned – particularly in light of the recent shift by global investors from U.S. to Euro-denominated assets? What opportunities and challenges stand out to you most clearly today?

Given recent US government policy changes and commitments, we have seen global investors increase their exposure to Europe in general, with some making significant investment pledges over the next decade or so. Credit is especially well positioned to benefit from this trend, as demonstrated by record Euro CLO issuance over the course of 2025, as well as strong high-yield bond inflows. Of course, this sig-

> “Companies are choosing to stay private for longer, especially in the mid-cap space where the rationale for going public is becoming less compelling”

nificant inflow of capital comes with its own challenges. For example, given the muted M&A environment, the strong technical bid for Euro assets has led to tightening credit spreads, which is counterintuitive against the backdrop of heightened geopolitical risk and a sluggish overall economic picture in Europe.

Private markets in Europe have expanded rapidly since the GFC, but their sustainability may be tested as investors reassess risk. How do you see this trajectory evolving in today's higher rate climate, and in what ways is private credit reshaping the dynamics of private equity across European markets?

Since the GFC, we have seen a consistent trend of banks retreating from the large segment of commercial lending they once dominated – for regulatory, operational and economic reasons – with a significant portion of this market now serviced by private credit funds. In mature markets in Europe, private credit has a 50% or higher market share. The regulatory headwinds and balance sheet constraints faced by the banks will sustain this trend in the short-to-medium term.

Contrary to some commentaries, private credit has proven its resilience through different economic cycles in the US and in Europe too at this point. In the US, direct lending was already an established asset class heading into the GFC and it performed well through this period. By comparison, in Europe, Ares was among the pioneers of the asset class when we launched our European Direct Lending business in 2007, shortly before the GFC. Since then, we have seen direct lending grow through the European sovereign debt crisis, Brexit, Covid, and the various geopolitical events we're still navigating – the response to which has been interest rate hikes. Because direct lending assets are typically floating rate, the higher interest rate environment we have gone through recently has been generally conducive to stronger returns for investors.

The growth of private credit is a key driver of the continued success of private equity insofar as the increased liquidity provided by flexible, scaled lenders presents a supportive backdrop for dealmaking.

Thinking more specifically about portfolio construction, political and macroeconomic developments often introduce risks that can be difficult to quantify in traditional models – whether that's through shifts in fiscal policy, evolving regulatory frameworks, or heightened geopolitical tensions. In your view, what risks are often underestimated in the credit space, and how do you manage exposure in such a volatile economic environment?

It can be difficult to quantify macro risk or impact at the single asset level. Credit managers aim to take such risks into account but are much more focused on the idiosyncratic risk issues associated with underlying assets being evaluated. In my view, as topical as it is, a new emerging risk that many credit managers are underestimating is the impact of AI on portfolio companies and potential new investments.

One of the best ways to manage this and other risks is to create diversified pools of capital because diversification by the number of assets, the sectors involved, and geography all help spread, which therefore mitigates the impact of risk.

Finally, for our readers – many of whom are students, young researchers, and policy enthu-

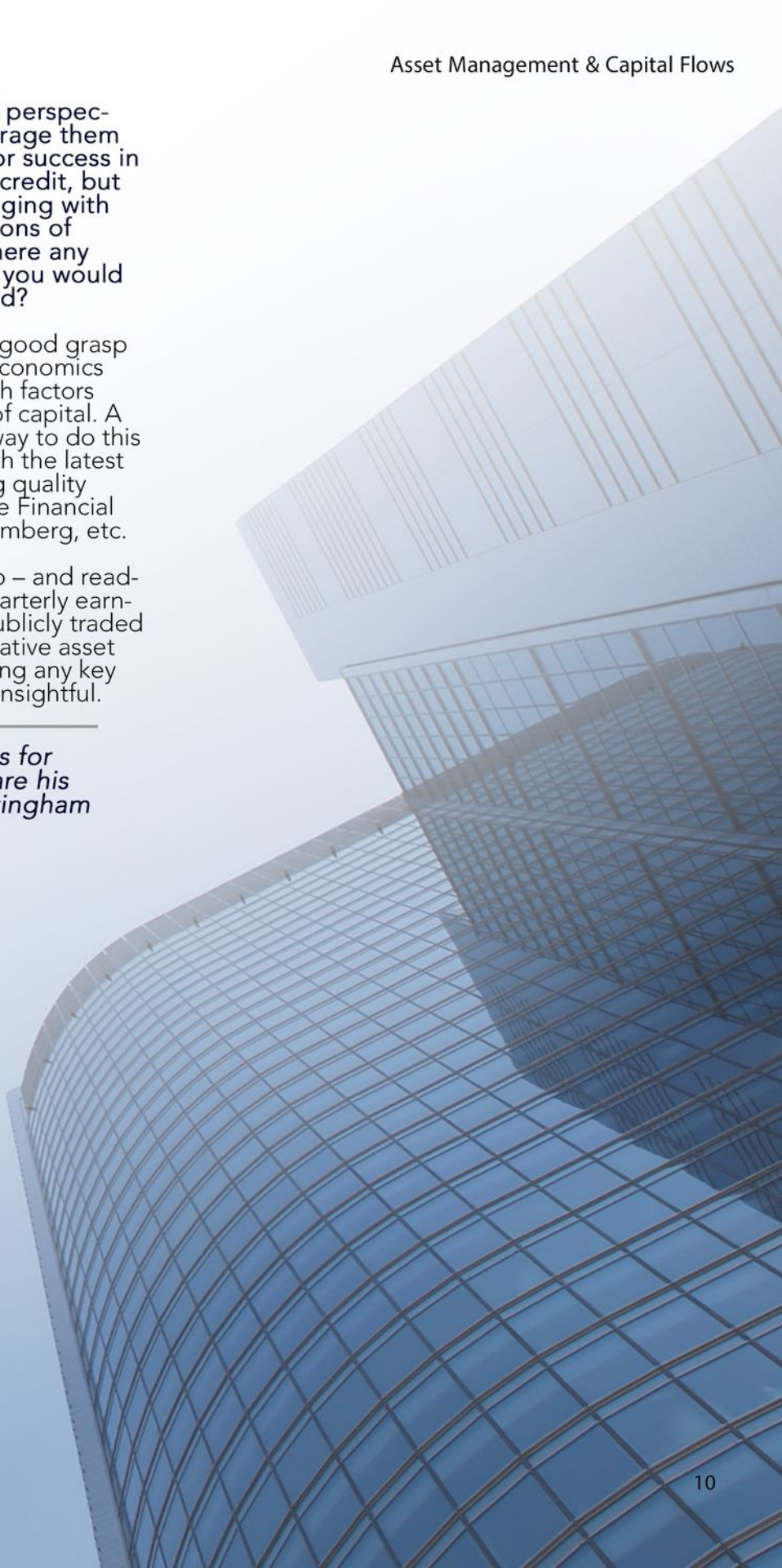
> “In Europe, Ares was among the pioneers of the asset class when we launched our European Direct Lending business in 2007, shortly before the GFC”

siasts – what skills and perspectives would you encourage them to develop, not only for success in asset management or credit, but more broadly for engaging with the complex intersections of global markets? Are there any foundational readings you would particularly recommend?

It's important to have a good grasp and understanding of economics and policy and how both factors affect the global flows of capital. A simple and accessible way to do this is by staying abreast with the latest global affairs by reading quality publications, such as the Financial Times, Economist, Bloomberg, etc.

Additionally, listening to – and reading analyses of – the quarterly earnings presentations of publicly traded global banks and alternative asset managers, and identifying any key themes, would also be insightful.

We thank Mike Dennis for taking the time to share his insights with the Nottingham Economic Review.





Encoded Economies: AI and the Next Frontier of Capital

Daniel Manders-Ratcliff

In June of this year, the Stanford Graduate School of Business proclaimed that an AI fund manager created by its professors outperformed 93% of mutual fund managers by an average of 600% over 30 years (from 1990 to 2020) using only publicly available data (Stanford, 2025). With the unprecedented rise of AI across the globe, the asset management industry stands at a crossroads: will the implementation of this technology lead to the replacement of traditional portfolio management roles and techniques? Furthermore, what implications does this have for global trade flows and the political economy as a whole? The following article offers some points for consideration.

New Frontiers of Market Insight

The real leap caused by AI is less in increased quantitative power and more in the synthesis of unstructured, qualitative data that previously required highly specialised and time-consuming research from human analysts – such as news articles, corporate reports, and social media discourse (The Value of AI in Asset Management | Russell Investments, 2024). LLMs such as FinLlama act as sentiment analysers (Marano, 2024), synthesising investor and public perceptions in real-time and executing thousands of trades in milliseconds – minimising human cognitive bias and overreactions (LUMENALTA, 2025).

Additionally, multiple AI portfolio managers can be used in conjunction with each other to improve performance further, as they each capture complementary market signals, constructing a makeshift "wisdom of the crowd" with greater accuracy than just one algorithm. However, it is important to note is that human judgment still provides a non-quantifiable alpha that AI has not shown an ability to replicate, often based on contrarian trades, strategic risks, and relationship building (Paterson, 2025).

There are two main trade-offs to factor when considering the implementation of AI in asset management. Firstly, the model performance and explainability trade-off. The most powerful AI models, especially LLMs and those with deep learning capabilities, are opaque "black boxes" with very limited interpretability (Pérez-Cruz et al., 2025), which not only prevent critical judgment in high-risk scenarios by managers, but also introduces pressing compliance and regulation issues.

The many parameters included in these models obscure the rationale behind their outputs, resulting in regulators and financial institutions being strained in managing model risk. Existing Model Risk Management (MRM) – which is the foremost process in identifying, gauging and controlling model risk – is often too constrictive for advanced AI

Daniel is a third-year BSc Economics student at the University of Nottingham with a keen focus on competition economics, macroeconomic policy, and geopolitical analysis. His research examines the intersection of market structures, regulatory frameworks, and global economic dynamics.



models to comply with and prevent socially desirable innovation.

However, the core concern for regulatory authorities, such as the Financial Stability Board (FSB), revolves around concentration risk. Essentially, an integration of advanced reinforcement and deep learning processes within these models could lead to a systemic "monoculture" of financial models, amplifying market instability (Sidley, 2024). A joint reaction has the potential to increase asset correlations, leading to widespread, instantaneous market exits as well as sudden liquidity evaporation.

This ties into the second trade-off: The Velocity-Volatility impasse: "higher trading volumes and greater volatility in times of stress" intrinsically increase the potential for rapid destabilisation and "flash-crash" events. This was seen in 2010 when, in response to a small market shock, a domino effect of algorithms exited the market once the price of certain equities passed a certain threshold (Abbas et al., 2024). This structural risk replaces traditional behavioural dynamics, such as collective human panic, with high velocity synchronised failures that are harder for humans and regulators to predict or counteract.

Related to the concept of concentration risk is the unintended outcomes that come with the increased proliferation of AI models within the market – namely, convergence towards a hyper-efficient state. Economic theory would suggest that as all rational market players improve the sophistication of their AI tools to exploit inefficiencies and potential for arbitrage, the high degree of competition leads to an equilibrium price process aggravated by excess efficiency. Consequently, competitive advantage becomes concentrated entirely on the speed of integrating new information, leading to firms investing paradoxically in low-cost latency infrastructure to gain an edge, rather than more efficient models (Paolo, 2025)

> "Competitive advantage becomes concentrated entirely on the speed of integrating new information, leading to firms investing in low-cost latency infrastructure to gain an edge, rather than more efficient models"

Implications: Faster, Smarter, and Fragile Too

The implications of implementing AI in asset management strategies on global trade flows can be distinguished into three distinct effects: increased Systemic Risk due to the velocity-volatility trade-off and the elevated risk of model monoculture; the acceleration of price discovery and market efficiency through convergence towards the hyper-efficient state; and the efficiency gains derived from AI-assisted data leading to lower traditional barriers to entry.

These factors have a two-fold effect, particularly for quantitative investors in markets which were previously opaque and frictional: it deepens market liquidity in traditionally illiquid asset classes such as corporate debt or emerging markets (Adrian, 2024); and it exposes insulated markets to the same volatile dynamics present in traditional equity markets. Altogether, while global capital flows are becoming faster and more efficient, they are equally more fragile in the aggregate, requiring increased global monitoring.

Moreover, these implications can be extrapolated to dissect the political economy at large. As referenced before, competitive advantage in hyper-efficient mar-

kets could shift away from financial capital towards computational capital. Many of the most complex models require significant sources of compute power to house the necessary infrastructure. Global data centre electricity consumption is projected to triple by 2030, with the highest concentration and fastest growth occurring in the United States (Bogmans et al., 2025).

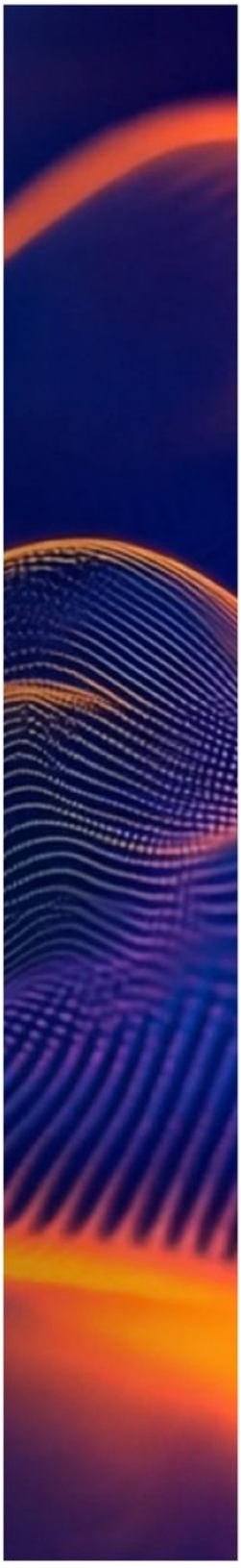
This reliance on advanced computing power creates insurmountable barriers to entry for many economies, and therefore, national policies vis-à-vis energy supplies, data centre construction, and chip manufacturing ultimately lead to constrained outcomes. As a result, these infrastructural developments have become de-facto foils for financial stability (Bashir et al., 2025; Haag, 2025).

Conclusion

Reviewing the evidence, it is unlikely that the implementation of AI spells the decline of human portfolio managers or even traditional techniques. Far more likely is the adoption of a hybrid alpha model structure, where financial institutions strategically allocate AI resources to process vast unstructured data and optimise execution under the oversight of traditional analysts. This would elevate data asset infrastructure and real-time processing systems past mere IT expenses to strategic alpha-generating assets crucial for long-term competitive differentiation.

Consequently, it is paramount that financial regulators critically update MRM guidance to formally recognise the trade-off between model flexibility and explainability, while also prioritising the monitoring of potential monoculture effects among high-speed trading algorithms to manage the systemic fragility of high-velocity markets.

Scan for References





Private Equity in Healthcare: Balancing Efficiency and Human Values

Maher Gidwani

Private equity (PE) has become a major force in shaping the financial and operational landscape of healthcare. While such investment introduces capital, efficiency, and innovation, it also risks underfunding essential care and eroding the human ethos of medicine. In this article we will weigh both the efficiency-driven gains and the moral qualms that one may grapple with when healthcare is market-driven.

Financialisation and Its Consequences

Private equity firms often acquire healthcare assets through leveraged buyouts, where borrowed capital finances most of the acquisition. This debt is then transferred onto the healthcare company itself, obligating it to generate profits sufficient to service the loans. As a result, many hospitals and clinical practices experience immediate pressure to cut costs – reducing staff, limiting unprofitable departments, or deferring long-term infrastructure investment (Joseph, 2025). This process, termed the financialisation of healthcare, transforms care institutions into financial assets designed primarily for return generation rather than service delivery.

Empirical work reinforces these concerns. Lin, Munnich, Richards, Whaley, and Zhao (2023) found that private equity–acquired ambulatory surgery centers (ASCs) did not significantly increase patient volumes or care complexity but raised procedure charges by over 50% within several years. Although such facilities remained operationally stable, the increased pricing without commensurate clinical improvements illustrates how private equity ownership often shifts organisational priorities toward short term profitability at the expense of equitable and sustained patient care (Joseph, 2025; Lin et al., 2023).

Squaring Profit Maximisation and Human Dimensions

Profit maximization poses ethical and professional challenges within healthcare's moral economy. When investor returns drive clinical decision-making, physicians may face subtle pressures to prioritise profitable services over community health needs or preventive care. As Joseph notes in the American College of Surgeons Bulletin, "turning healthcare from a social good into a commodity" risks prices and care standards being determined by market calculus rather than compassion or community welfare. Additionally, aggressive cost reduction may produce staff reductions, eroding continuity of care and straining patient–provider relationships.

The patient–practitioner relationship represents a fiduciary and collaborative bond built on mutual respect and trust (Chipidza et al., 2015). Strong relationships foster open communication, allowing patients to share

Maher is an Economics and Politics student at the University of Nottingham with diverse international experiences. He has previously interned at Carpediem Capital, a private equity firm based in Bombay, where he gained hands-on insight into investment and portfolio management.



critical details about symptoms and lifestyle habits that might otherwise remain undisclosed. These details enhance diagnostic precision and the development of more effective, personalized treatment plans (Wu et al., 2021). Trust also mitigates patient anxiety, increasing compliance and active participation in care (British Medical Association [BMA], 2025). Patients are more likely to follow treatment protocols when they feel heard and respected, as the emotional rapport enhances confidence in medical advice (QHS Health, 2024).

Studies demonstrate that enduring relationships with consistent practitioners improve survival rates. A 2025 longitudinal study by Loughborough University, involving data from 1.4 million patients globally, concluded that patients who consistently see the same doctor were significantly less likely to die prematurely compared to those without continuity of care (Loughborough University, 2025). This continuity ensures that practitioners detect subtle changes in health status early, increasing opportunities for timely interventions.

Still, it is important to note that many PE acquisitions occur in financially stressed contexts, such as rural hospitals or independent practices facing insolvency. In such cases, investment can prevent closures and preserve access to essential services. Capital inflows can fund modernized electronic health records, streamline operations, and improve data-based clinical management (Joseph, 2025). These efficiencies often translate into operational stability and, in certain contexts, enhanced patient access.

Market-Driven Innovation and Efficiency

Despite ethical caveats, private capital has been a powerful driver of innovation in healthcare. As Lin et al. (2023) note, private investment has accelerated the adoption of advanced surgical technologies, expanded outpatient networks, and promoted scalable business models. Through managerial expertise and access to capital, private equity (PE) enables smaller or financially constrained providers – including those in underfunded or rural regions – to consolidate operations, modernise infrastructure, and achieve efficiencies that would otherwise be out of reach.

By enforcing cost discipline, investors can also enhance productivity and fund high-cost technologies such as telehealth, AI-assisted diagnostics, and minimally invasive surgical techniques – all requiring substantial up-front investment (Joseph, 2025). Under well-regulated conditions, this market dynamic can complement public health objectives by aligning financial efficiency with broader access to care.

Evidence also indicates that private equity can improve workflow efficiency and patient interaction when properly implemented. Studies cited by the Medicare Payment Advisory Commission (MedPAC) show that in some PE-backed facilities, physicians were able to dedicate more time to patients since administrative burdens were shifted to private management teams (American Investment Council, 2024). Similarly, hospitals supported by PE ownership reportedly employed a higher ratio of doctors and nurses compared to

“Under well regulated conditions, market dynamics can complement public health objectives by aligning financial efficiency with access to care”

traditional nonprofit counterparts, which can improve provider attention and continuity of care (American Investment Council, 2024)

Since 2006, PE firms have invested over $1 trillion in U.S. healthcare, modernising hospitals, urgent care centers, and telehealth systems while improving data integration and electronic health records (American Investment Council, 2024). A case documented by P&C Global (2025) illustrates this impact: after a PE acquisition, a financially unstable hospital upgraded its technology, reduced operational costs by 20%, and hired specialised staff. Within five years, patient satisfaction rose by 30%, readmission rates fell by 15%, and services expanded to underserved communities. Such cases demonstrate that, with sound governance and long-term priorities, private capital can generate tangible public health benefits rather than merely short-term profit (P&C Global, 2025).

Supporting Innovation and Advanced Treatment

Private equity firms have also financed medical innovations that have directly improved patient survival and quality of life. For example, LeapFrog Investments (2025) has focused on emerging markets, investing in cost effective health technologies and community-based care clinics in deprived areas such as Africa and Asia. Their investments in maternal health services reportedly improved neonatal survival rates by 22% in supported regions. Through microinsurance and mobile health innovations, over 140 million people gained access to affordable healthcare (LeapFrog Investments, 2025).

Additionally, PE funding has accelerated the development of specialized healthcare systems, such as advanced cardiac and orthopaedic centres. Rising Tide Venture (2024) highlighted cases where PE-backed hospital systems invested in cutting-edge facilities and top-tier specialists, leading to measurable improvements in survival rates for complex surgeries and chronic disease management. By streamlining operations and upgrading technology infrastructure, these hospitals delivered safer, faster, and higher-quality care.

Striking the Right Balance

When investing in healthcare, the challenge lies in ensuring that financial innovation aligns with the ethical imperatives of medicine. Policymakers have begun recognizing the risks of unchecked financialisation: recent U.S. legislation, such as the Corporate Crimes Against Health Care Act of 2024, targets exploitative practices and prioritizes transparency in ownership and clinical decision-making (Joseph, 2025). As Lin et al. (2023) suggest, the impact of private equity depends heavily on governance, oversight, and the structure of incentives. While PE capital can modernise healthcare infrastructure and expand innovation, its debt-leveraged, profit-driven models can also lead to underfunding and ethical compromise. A reconciliation of capital and compassion in which health remains the primary currency is crucial moving forward.

Scan for References



Searching for Wealth: Asset Management and Capital in Scotland

Gregor Davies

Scotland – home to over five million people – produces nearly 90% of the UK's oil and gas, contributing around £30 billion in Gross Value Added each year. Yet despite this resource endowment, it has never established a sovereign wealth fund to convert finite hydrocarbons into enduring capital. Norway, by contrast, has transformed its oil revenues into a $2 trillion portfolio of global equities, bonds, and infrastructure – an institutional investor in its own right, worth more than $200,000 per citizen.

Despite Scotland's world-class asset-management industry – from Aberdeen to Baillie Gifford – already stewarding trillions globally, the country's vast resource legacy has not been chanelled into a long-term financial framework. Doing so would secure Scotland's prosperity for generations, and strengthen Edinburgh's standing as a global hub for sustainable capital management.

Lost Potential: Intertemporal Shortcomings in Scotland's Oil Legacy

To understand why Scotland stands at such a critical juncture today, it is necessary to look back at how the opportunities of the past were handled. During the premiership of Margaret Thatcher, North Sea oil revenues were primarily used to finance short-term fiscal goals rather than to establish a framework for intergenerational wealth. At their peak, these revenues contributed roughly one in every ten pounds of total UK tax receipts, serving largely to offset sweeping income tax cuts rather than to create a stabilisation or sovereign investment fund.

Economists at the time warned of the long-term implications of this approach. "We have been rather shortsighted in our oil wealth," remarked Alexander Kemp, Professor of Economics at the University of Aberdeen, in The New York Times (Lohr, 1986) –"oil is an asset, and as a nation, we have not invested much of the proceeds." Between 1979 and 1985, Scotland's unemployment rate doubled even as oil production increased from 1.8 to 2.6 million barrels per day, illustrating the disconnect between extractive growth and real economic welfare.

This failure of intertemporal optimisation – the process of maximising welfare across multiple time periods – continues to echo through Scotland's current fiscal and economic landscape.Whereas Norway's sovereign wealth vehicle – the Norges Bank Investment Management (NBIM), manager of the Government Pension Fund Global – has evolved into one of the world's largest institutional investors, shaping global equity markets and governance norms, Scotland's oil revenues were largely subsumed into current expenditure rather than converted into a durable capital base.

Gregor is a PPE student at the University of Nottingham and a contributor to the Nottingham Economic Review, with a strong interest in UK and European regional development and a long-term ambition to contribute to policymaking.



Two key structural constraints underpin this outcome. First, the UK fiscal architecture pooled the windfall from the North Sea into the consolidated budget of the United Kingdom, rather than vesting Scotland with independent institutional control over the proceeds. As economist Tim Worstall explains, Britain "never really could have had a national wealth fund built up from those North Sea oil revenues" – not because the resource did not exist, but because the political economy and fiscal structure made persistent budget surpluses (the prerequisite for building a fund) practically impossible (Worstall, 2025).

Second, the Scottish Government's borrowing and fiscal autonomy remain limited: borrowing caps of around £450 million annually under the Scotland Act 2016 and revenue flows controlled via the UK Exchequer mean that Scotland has few instruments for translating resource rents into intergenerational savings or counter-cyclical investments.

While sceptics question whether the fiscal and demographic conditions necessary for a Scottish sovereign or transition fund meaningfully exist, the potential of Scotland's asset management industry offers a pathway.

Harnessing Scottish Asset Management for Intergenerational Wealth

The structural dependency created by Scotland's integration into the UK fiscal system has produced a long-term divergence between resource generation and capital retention, constraining its ability to institutionalise wealth in the way Norway did. Yet this need not define Scotland's economic future. While fiscal autonomy remains limited, the nation retains an undervalued comparative advantage — its sophisticated asset-management ecosystem. Centred in Edinburgh and Glasgow, the industry represents the largest concentration of investment expertise in the UK outside London, managing over £500 billion in assets and employing more than 13,000 professionals (Scottish Financial Enterprise, 2023). Moreover, Scotland's Sector Growth Strategy identifies asset management as a key engine of economic expansion, with a strategic ambition to double AUM to £1 trillion by 2030 (SFN, 2025).

> "Scotland's Sector Growth Strategy identifies asset management as a key engine of economic expansion, with a strategic ambition to double AUM to £1 trillion by 2030"

This latent institutional capacity provides the foundation for a new model of wealth creation that leverages private-sector expertise to achieve public objectives. The SFE report shows that Scotland's share of the UK's responsible-investment market exceeds its share of the conventional market, with around £6.4 billion in impact investments. This indicates that its financial institutions are increasingly oriented toward long-term, sustainability-linked returns. Combined with an established culture of prudent investment, Scotland has cultivated a modern capability for long-horizon capital stewardship, even without ever establishing a classic sovereign wealth fund.

As fossil-fuel revenues wane, the conversion of financial expertise into enduring capital – rather than continued extraction – has never been more critical. With the North Sea shifting toward offshore wind, hydrogen, and carbon-capture infrastructure, Scotland's institutional strength in asset management must now be harnessed to capture this

next wave of value.

Though analysts such as Worstall argue that the viability of such a fund depends on the ability to sustain fiscal surpluses – a challenge for Scotland given its constrained budgetary position and ageing population, proponents argue that these structural barriers make the case for institutional innovation, not inaction. Glasgow born tech executive Jim Rowan, former CEO of Dyson and Volvo Cars, has championed the idea of a Scottish sovereign wealth fund, warning that long-term investments rarely align with the short-term horizons of government (O'Sullivan, 2025).

His point captures the underlying economic dilemma: governments tend to prioritise short-run fiscal stability, whereas enduring prosperity depends on the capacity to transform resource rents into reproducible capital. In this light, Scotland's path to sustainable growth lies not in its diminishing natural reserves but in the ability to leverage financial institutions to turn ephemeral revenues into lasting economic wealth.

Conclusion

Scotland's encounter with North Sea oil underscores a central lesson in political economy – the long-run trajectory of wealth depends on the institutions that govern their use. The failure to convert hydrocarbon revenues into enduring capital reflects not only a deficit of foresight and fiscal autonomy but also the structural realities of operating within a unitary state whose macroeconomic priorities often outweigh regional developmental ones. Yet the converse – that institutional capacity alone does not guarantee the creation of intergenerational wealth – holds equal weight. The fiscal surpluses and demographic conditions that underpinned Norway's success remain elusive in Scotland, raising questions about the practicality of sovereign investment under present constraints.

However, the evolution of Scotland's asset-management sector – globally integrated, sustainability-oriented, and increasingly sophisticated – offers a distinct form of comparative advantage. As the material foundations of the economy shift from extraction to investment, the nation's challenge lies in translating financial expertise into a model of growth suited to its own political and institutional realities.

Scan for References



Strategies *Of* **Re-Alignment & Renewal**

This section explores regional realignments and renewal, in addition to a feature interview with the FCA's Ashita Bhatia. From Europe's strategic de-risking and the Indo-Pacific's growing role in asset management to the Gulf's evolving sovereign wealth strategies, these pieces trace how capital adapts to shifting geopolitical and economic landscapes.

The Geopolitical Portfolio: EU De-risking & Capital Flows	21
Feature Q&A with Ashita Bhatia, Senior Economist, Financial Conduct Authority & Former Editor NER	24
Indo-Pacific's Rise in Asset Management	27
The Gulf's Second Wind: Diversification Via Sovereign Wealth	31



The Geopolitical Portfolio: EU De-risking Reshaping Capital Flows

Helena Oprandi

The paradigm of frictionless global capital mobility, a cornerstone of financial theory for decades, is undergoing a profound transformation. The convergence of pandemic-induced supply chain collapses, the war in Ukraine, and escalating US-China tensions has exposed the critical vulnerabilities embedded within hyper-optimized global networks. This is not merely a cycle of deglobalization but a strategic re-evaluation of what constitutes security and risk in the global economy.

The European Union's response, crystallized in its "de-risking" agenda, represents a deliberate and structural shift within this rising tide of economic statecraft. This strategy is actively dismantling the old logic of portfolio construction, forcing a move away from a world where the primary question was "what is the return?" to one that must equally ask "what is the strategic resilience of this asset?" This evolution marks a fundamental recalibration of the relationship between the state and the market in directing global capital flows, reflecting a new era of pervasive geopolitical risk (Bremmer & Kupchan, 2021).

What is "De-risking"? More Than a Political Slogan

It is crucial to distinguish the EU's concept of de-risking from the more drastic notion of decoupling. While decoupling implies a broad-based economic separation, de-risking is a more targeted and nuanced strategy. It aims to manage critical dependencies rather than eliminate all commercial ties, representing a calculated effort to reduce vulnerability in specific, strategically important sectors.

The theoretical underpinning for this approach has been championed by Abraham Newman and Henry Farrell, with their concept of "weaponised interdependence," describing how the very networks that underpin globalization, be it semiconductors, energy, or financial messaging, can be leveraged as tools of geopolitical coercion (Farrell & Newman, 2019). The EU's de-risking agenda, as articulated by Commission President Von der Leyen, is the practical policy response to this reality.

It is operationalised through a trio of pillars: promoting the EU's technological and industrial base, protecting its economy from security threats, and partnering with reliable, like-minded nations. Landmark legislative initiatives like the European Chips Act and the Critical Raw Materials Act are the tangible instruments of this strategy. They represent a form of modern "regulatory statecraft," a practice not unlike the "directional thrust" historically employed by the US, where state power is used to shape market outcomes (Wade, 2017).

The New Risk Calculus

Helena is a quantitative economist specializing in econometrics, data science, and machine learning. A graduate of the University of Verona, she applies economic data to address social and environmental challenges. She is preparing to pursue a PhD in quantitative economics and policy analysis.



For asset managers and institutional investors, this paradigm shift necessitates a revolution in risk assessment methodologies. The traditional Markowitz framework, which focuses on optimising a portfolio based on volatility and return, is ill-equipped to price in the new, qualitative dimension of geopolitical risk. The modern asset manager must now account for what can be termed a "geopolitical beta", the sensitivity of an investment's value to international political dynamics and supply chain disruptions. A corporate bond from a Chinese tech firm or an equity stake in a German automotive supplier dependent on rare earth magnets from a single source must be evaluated not just on its financial merits but on its exposure to potential export controls, sanctions, or political coercion.

This new calculus turns traditional diversification on its head; a portfolio might be well-diversified across sectors and currencies but dangerously concentrated in terms of geopolitical alignment. Conversely, investments that were previously considered sub-optimal due to higher costs, such as a semiconductor fab in the EU or a lithium mine in Canada, are re-rated. Their value is enhanced by state subsidies and strategic frameworks that actively "de-risk" them, making them safer and more resilient assets in an increasingly volatile world.

De-risking in Action

The theoretical framework of de-risking is materialising via concrete shifts in capital allocation across key sectors. The European Chips Act, which mobilises over €43 billion in public and private funds, is a prime example. It is designed to double the EU's global share of semiconductor production to 20% by 2030. This policy is a powerful market signal that is actively pulling private capital away from established Asian supply chains and toward new fabrication plants in France, Germany, and Italy. By de-risking these capital-intensive investments, the EU is altering the fundamental risk-return profile of the global semiconductor industry, making once "uncompetitive" locations suddenly attractive to private equity and venture capital.

> "The modern asset manager must now account for what can be termed a "geopolitical beta", the sensitivity of an investment's value to political dynamics and supply chain disruptions"

Similarly, the Critical Raw Materials Act sets binding benchmarks for domestic extraction, processing, and recycling of strategic materials like lithium and cobalt. This is directly channeling investment into mining projects within the EU and in partner countries, creating investments based on political affinity rather than just geological endowment. Furthermore, the EU's screening mechanism for Foreign Direct Investment acts as a gatekeeper, filtering inbound capital flows based on security concerns, thereby preventing acquisitions of critical assets that could undermine the Union's strategic autonomy.

The Consequences: Winners, Losers, and the Fragmentation of Finance

The long-term consequences of this strategic pivot are multifaceted and will redefine the winners and losers in the global economy. The intended benefits for the EU are clear: enhanced industrial resilience, reduced coercive pressure, and the fostering of strategic domestic industries. However, the unintended consequences are equally significant and point toward a more fragmented and potentially less

efficient global financial system.

The move toward "friend-shoring" and strategic autonomy inherently carries a cost, likely leading to higher prices for consumers and persistent inflationary pressures, as the lowest-cost producer is no longer the default choice. This fragmentation risks creating competing economic blocs with divergent standards and regulatory environments, a phenomenon that could hamper global risk-sharing and financial stability.

For many emerging markets, this new era presents a stark dilemma. Countries that are not clearly aligned with either Western or Eastern blocs may find themselves struggling to attract foreign investment, potentially becoming the collateral damage in a new Great Game for economic influence. The global financial system, once a unified web, is at risk of splitting into a "variegated" structure, with capital flows increasingly dictated by political directives rather than market signals.

Navigating A New Map of Global Finance

The EU's de-risking strategy signals a profound and irreversible shift in the logic of global finance. Economics and security have become inextricably linked, blurring the once-clear boundaries between capital markets, industrial policy, and foreign affairs. The strategic initiatives being undertaken reflect a reordering of the international financial architecture, and a redefinition of what it means to pursue stability, growth, and sovereignty in a multipolar world.

In this new landscape, financial actors are no longer insulated observers optimising based on returns-based metrics; rather, the imperative to de-risk has created a system where every investment decision carries political weight and every portfolio allocation reflects a geopolitical stance. Passive wealth accumulation has given way to an era of intentional capital deployment, guided by considerations of security, resilience, and long-term sustainability.

The ultimate test of this transformation lies in demonstrating that strategic resilience can coexist with, and indeed enhance, financial performance. If the EU and its partners succeed in aligning resilience with competitiveness, they will not only safeguard their economic autonomy but also redefine the very notion of financial leadership in the global economy.

Scan for References



FINANCIAL CONDUCT AUTHORITY

Views from the Policy Floor
Insights from a Former Editor of the NER



Ashita Bhatia is a Senior Economist at the Financial Conduct Authority, with seven years' experience shaping economic policy and delivering strategic insights to inform regulatory decisions. She holds a BSc Honours in Economics from the University of Nottingham and an MSc in Economics from Birkbeck, University of London. Ashita's career includes previous roles at the Bank of England, Ernst & Young, and J.P. Morgan. She is recognised for leading high-impact projects, mentoring junior colleagues, and building cross organisational networks to help deliver analysis that supports sound policy decisions in a rapidly changing environment.

How did your time at Nottingham – and your experience with the NER – shape your analytical approach and the way you think about economics in practice today?

Looking back, my time at Nottingham, and especially my involvement with the NER had a profound impact on my decision to become a professional economist. Even though my early experiences at JP Morgan in Treasury Services, and then at Ernst & Young in Transaction Advisory Services (M&A), taught me a huge amount and helped me get to where I am today, it was really the intellectual environment and sense of purpose I found at Nottingham, particularly through the NER, that I kept coming back to. The experience ultimately made me realise that a career in economic policy was what I genuinely wanted to pursue.

The degree gave me a solid grounding in analysis and quantitative methods, but it was the NER that pushed me to communicate complex ideas clearly and make economics accessible to a wider audience. Reviewing and editing articles exposed me to a range of perspectives and taught me the value of constructive feedback and collaboration, which are skills I rely on every day in my role at the FCA.

Nottingham encouraged me to bridge the gap between theory and practice, using evidence and data to answer practical questions and challenge my own assumptions along the way. Similarly, the culture at Nottingham fostered open-mindedness, curiosity, and a habit of continuous learning - qualities that are essential in a field like economic policy that's always evolving. Most importantly, I came away after the three years with a strong sense of responsibility and integrity, knowing that the work we do as economists can have far-reaching impacts.

> “Nottingham encouraged me to bridge the gap between theory and practice, using evidence and data to answer practical questions and challenge my own assumptions along the way”

These habits and values continue to shape how I tackle complex policy questions and deliver insights that (hopefully) make a real difference.

Since leaving university, you've worked across both private and public sectors, and now at the FCA navigate a rapidly evolving financial landscape. What have been the most striking shifts you've observed in how the financial industry interacts with regulation and policy over the past decade?

Over the past decade, there have been fundamental shifts in how the financial industry interacts with regulation and policy. In the immediate aftermath of the GFC, the focus was on strengthening regulation, building resilience, and increasing transparency, where consumer protection was a key focus. This led to a more robust approach to supervision and a clear expectation that firms would prioritise market integrity and good outcomes for consumers.

More recently, the landscape has evolved. With the UK's exit from the EU, rapid technological change, and new economic challenges, there's been a renewed emphasis on supporting innovation and growth, while still safeguarding financial stability. The introduction of the FCA's new secondary objective to promote competitiveness and growth is a good example of this shift. There has been a move towards a more dynamic and collaborative dialogue between regulators and industry, recognising that effective regulation is about working together to balance growth, innovation, and resilience.

A key theme that has emerged is the need to rebalance risk. As highlighted in a recent speech by the FCA's Chief Economist, the challenge at hand is creating an environment where firms can innovate and grow, but without compromising on standards, or exposing consumers and markets to undue risk. This is especially relevant in areas like crypto and digital assets, where the pace of innovation has been extraordinary but the risks from volatility to consumer harm are significant. Regulators are having to adapt quickly, finding new ways to manage risk in a world that's more complex and fast-moving than ever before.

Ultimately, the most striking change has been the recognition that risk and opportunity go hand in hand. The focus now is on finding the right balance to enable innovation and growth, while maintaining trust, stability, and protection for consumers. There is a much more nuanced and collaborative approach than the one I saw at the start of my career, and it's shaping the way we all think about regulation and policy going forward.

As private credit and alternative market structures expand, what challenges and opportunities do you see for regulators and market participants in balancing innovation with market resilience?

The growth of private credit and alternative market structures is an interesting shift that's been observed in recent years. On the one hand, these developments create real opportunities such as broadening access to finance, diversifying funding sources, and supporting innovation in areas that traditional banking models don't always reach. For investors, they open new ways to allocate capital and manage risk. But with those opportunities comes challenges, particularly around transparency and regulatory oversight. These markets often sit outside the regulatory perimeter, which makes it difficult to monitor sys-

> There is a much more nuanced and collaborative approach than the one I saw at the start of my career, and it's shaping the way we all think about regulation and policy going forward

temic risk as private credit and alternative market structures become more interconnected with the wider financial system.

For regulators and market participants, I think a key question is 'how do we encourage innovation and competitiveness without compromising on financial stability?'. That means thinking carefully about risks like operational resilience, liquidity mismatches and leverage, while avoiding unnecessary barriers to growth. It also means being proactive by strengthening governance, improving data, and maintaining open dialogue between industry and regulators. In my view, the challenge is about finding the right balance so that UK markets can thrive in a way that is sustainable and trusted.

Finally, for students hoping to pursue careers in economic policy, what skills and mindsets do you think are most valuable to cultivate?

My experience as an economist has really highlighted the importance of clear communication - being able to translate technical analysis into strategic insights that people can actually use. I've also seen first-hand how much impact you can have when you work collaboratively, drawing on the strengths of others to deliver meaningful results. Additionally, adaptability and creative problem-solving are essential, especially with the complex and rapidly changing economic and geopolitical environment that we are in today. Above all, I believe that approaching your work with integrity and a strong sense of responsibility is crucial, as policy decisions can have far-reaching impacts on people's lives.

For students interested in economic policy, my advice is to look for opportunities to apply your economics knowledge beyond the classroom - whether that's through internships, joining societies or contributing to publications like the NER. It's important to build both your technical skills, like data analysis and economic theory and your softer skills, such as communication, teamwork, and leadership. The most valuable economists I've worked with are those who combine analytical rigour with clear communication, collaborate well with others, adapt quickly, act with integrity and have a passion to keep learning.

We thank Ashita Bhatia for taking the time to share her insights with the Nottingham Economic Review.





The Great Reallocation: Indo-Pacific's Rise in Asset Management

Vivian Wing Yan To

Global asset allocations are entering a new phase, increasingly shaped by the ascent of the Indo-Pacific as a centre of growth and capital formation. As inflationary pressures persist and energy transitions accelerate in regions elsewhere, asset managers are looking to Eastern markets to hedge volatility and capture exposure to some of the world's fastest-expanding economies. From Singapore's fund management ecosystem to India's capital markets and Japan's institutional investors, the region is steadily redefining how global portfolios are constructed and where future returns are sourced.

Diversification and Demand: The Advantages of the Indo Pacific

According to IMF projections, the Indo-Pacific is expected to contribute nearly 50% of global GDP growth and over one-third of cross-border portfolio inflows by the end of 2025. With developed markets contending with prolonged periods of low growth, the region's appeal rests on three key strengths: robust domestic demand, accelerating financial reform, and a rapid expansion of sustainable investment instruments.

Strong domestic demand has provided a stable foundation for long-term investment, supported by expanding middle classes and sustained urbanisation. This internal dynamism reduces reliance on external demand shocks and reinforces the region's resilience during global downturns. Similarly, quick-paced financial reform has vastly improved transparency whilst deepening liquidity and enabling a broader investor base. These reforms are steadily aligning regional markets with global standards, enhancing accessibility for foreign institutional investors.

Most crucially, the rise of sustainable investment instruments such as green bonds has positioned the Indo-Pacific as a leader in climate-aligned capital flows. Countries such as Singapore, Japan, and South Korea are setting the pace on cross border green finance initiatives.

Singapore exemplifies this transformation: as the region's leading asset management hub, its assets under management (AUM) reached US$5.4 trillion in 2024, a 15% increase from the previous year, according to the Monetary Authority of Singapore (MAS). Its strategic role in channeling Western capital into ASEAN and South Asian opportunities underscores its irreplaceable position within the Indo-Pacific's evolving financial architecture.

Gateways of Capital

The transformation of the Indo-Pacific's financial landscape is being driven by a network of dynamic capital hubs that anchor the region's integration into global markets. Foremost

Vivian is an emerging financial economist currently studying PPE at King's College London. Her work explores the intersection of economics and politics across the APAC/EMEA regions, with a particular focus on financial governance. She is the Indo-Pacific Fellow for the NER.



amongst the key players, Singapore continues to consolidate its position as a neutral, transparent, and well-regulated centre for regional and international fund management. Its Variable Capital Company (VCC) framework – introduced to streamline fund domiciliation and provide greater structural flexibility – has become a cornerstone of its financial strategy.

The VCC allows investment funds to manage multiple, segregated investment structures that use capital to pay dividends, making it highly attractive for private equity, venture capital, and hedge fund managers seeking optimised returns. Combined with cross-border fund authorisation arrangements with Australia, Japan, and South Korea, Singapore is increasingly the preferred domicile for wealth and asset management vehicles seeking exposure to the broader Indo-Pacific growth narrative.

Hong Kong, by contrast, is leveraging its deep institutional links with Mainland China to pursue a complementary trajectory. Through a series of Connect schemes – namely, through Stock Connect, Bond Connect, and Wealth Management Connect – the city has strengthened its role as a conduit for mutual capital access between Chinese and global investors. Its growing exposure to RMB-denominated assets, bolstered by the introduction of the RMB Liquidity Arrangement in 2025, underscores Hong Kong's strategic role as China's principal offshore capital channel and a key node in the internationalisation of the renminbi.

Tokyo represents another pivotal gateway in the Indo-Pacific's evolving financial architecture. Structural reforms are steadily rebuilding investor confidence and reasserting Japan's role as both a source and destination of global capital. The government's sustained focus on corporate governance reform has also fostered a more transparent and shareholder-oriented investment environment.

For example, recent measures by the Tokyo Stock Exchange (TSE) to promote capital efficiency have strengthened this shift: the TSE's call for listed firms to improve their return on equity (ROE) has encouraged companies to deploy idle cash reserves and enhance productivity. This, in turn, has drawn asset managers seeking undervalued opportunities within one of the world's most mature yet reform-driven markets.

The Search for Yield

Beyond the established financial hubs, the Indo-Pacific's emerging markets are drawing record-high capital inflows as global investors widen their search for yield. India's equity markets continue to expand rapidly, reaching a market capitalisation of over US$4.8 trillion in 2025. As global supply chains diversify away from China, portfolio managers are increasingly targeting India's technology, renewable energy, and advanced manufacturing sectors, which combine growth potential with improving regulatory frameworks and robust corporate performance.

Likewise, in Indonesia and Vietnam, capital inflows are being channeled toward infrastructure, industrial development, and energy transition projects. Indonesia's Omnibus Law reforms have reduced bureaucratic friction, while the government's in-

“Beyond the established financial hubs, the Indo Pacific's emerging markets are drawing record high capital inflows as global investors widen their search for yield”

creased issuance of green and sustainability-linked bonds has attracted investors seeking both yield and ESG alignment. Vietnam, by contrast, is leveraging its industrial zone strategy to attract private equity and venture capital, positioning itself as a competitive alternative in regional supply chains through targeted infrastructure and export-oriented development.

At a regional level, initiatives such as the Asian Bond Markets Initiative (ABMI) continue to strengthen the financial architecture underpinning these markets. By promoting transparency and developing local currency bond markets, the ABMI reduces currency mismatch risks and enhances access for both domestic and international investors. Together, these developments signal an important shift: the Indo-Pacific's emerging economies are becoming integral components of the global yield and diversification landscape.

Importantly, however, Indo-Pacific economies are not only destinations for investment but also exporters of capital. Japan's Government Pension Investment Fund (GPIF), one of the world's largest with over US$1.7 trillion in assets under management, allocates nearly half of its portfolio to overseas markets, reinforcing Japan's role as a global capital supplier. Similarly, Singapore's GIC and Temasek Holdings are expanding their global footprints through strategic investments in technology, renewable energy, and healthcare across Indonesia, India, and Vietnam. This region-wide cycle of investment creates a feedback loop, strengthening local financial ecosystems while simultaneously enhancing the region's own capital autonomy.

Fragilities Beneath the Momentum

For all the positives, however, the Indo-Pacific's rapid rise in global asset management brings with it a distinct set of challenges. Regulatory divergence remains one of the most significant barriers to integration, as cross-border fund distribution is complicated by differing frameworks on disclosure, investor protection, and taxation. In addition, political and currency risks in less developed markets continue to deter long-term institutional investors seeking predictability and stability.

Uneven market depth also presents structural limitations. While Singapore and Japan maintain mature and liquid financial systems, smaller ASEAN economies still grapple with gaps in sound governance and liquidity provision. Similarly, inconsistent ESG reporting standards across jurisdictions complicate the evaluation of sustainable investments, making it harder for asset managers to apply uniform metrics of risk and impact.

Nonetheless, the region is making meaningful and measured progress. The ASEAN Sustainable Finance Taxonomy is advancing efforts to harmonise ESG frameworks across member states, promoting comparability and accountability. Meanwhile, the Asian Infrastructure Investment Bank (AIIB) continues to enhance investor confidence by financing major regional infrastructure and green transition projects, reinforcing long-term market credibility.

Conclusion

The Indo-Pacific's ascent represents a structural rebalancing

> "Region wide cycles of investment creates a feedback loop, strengthening local financial ecosystems whilst enhancing the region's own capital autonomy"

of global finance, as asset managers increasingly build portfolios around Asia's markets. The region's unique blend of developed financial hubs and dynamic emerging economies offers both growth and resilience in an era of macroeconomic uncertainty. With steady improvements in the regulatory and financial ecosystems, the Indo-Pacific's role in shaping global capital allocation is set to expand further. Its rise is underpinned by pragmatism, sustained performance, and unique potential. In time, the region is poised not only to anchor the world's investment strategies, but to redefine global capital flows themselves.

Scan for References





The Gulf's Second Wind: Diversification Via Sovereign Wealth

Lara Wipperich

Sovereign Wealth Funds (SWFs) have emerged as pivotal actors in global capital markets, with assets exceeding USD 12 trillion worldwide as of 2025 (SWF Institute, 2025). Among them are the Gulf Cooperation Council (GCC) funds, which include oil-exporting nations such as the United Arab Emirates (UAE), Kuwait, and Saudi Arabia. This region has historically been reliant on oil revenues from its exports; these funds have evolved from stabilisation vehicles into global investors driving diversification both within their domestic economies and across international markets.

The heightened era of oil price volatility and the significant increase in sustainable energy sources in response to environmental issues have influenced Gulf states to reconfigure how their sovereign assets are allocated. Oil prices fluctuated between USD 70 and USD 100 per barrel from 2022 to 2025 (IMF, 2024). To combat this, governments in the region are increasingly using SWFs as a means for long-term diversification and strategic influence. These funds are not only reshaping plans for national development but also altering portfolio patterns, shifting capital flows toward alternative assets, emerging markets, and new geographies.

SWFs as Global Portfolio Stabilisers

Sovereign wealth funds (SWFs) play a dual role as instruments of portfolio diversification and tools for long-term economic stabilisation. According to modern portfolio theory, investors can enhance risk-adjusted returns by spreading investments across asset classes and geographies (Markowitz, 1952; Brière et al., 2023). For resource-dependent economies, SWFs serve a crucial macroeconomic function: they cushion national budgets against commodity price volatility while simultaneously acting as global investors pursuing stable, long-term returns that are decoupled from domestic resource cycles (Truman, 2020).

In recent years, Gulf SWFs have undergone a marked strategic shift, moving beyond traditional allocations in fixed income and listed equities toward alternative assets such as infrastructure, technology, renewable energy, and private equity. Saudi Arabia's Public Investment Fund (PIF), for instance, now allocates roughly 30% of its portfolio to international holdings, with a strong emphasis on green energy and digital infrastructure (PIF Annual Report, 2024).

Similarly, Abu Dhabi's ADIA and Mubadala have diversified into U.S. real estate, European renewables, and Asian technology. Meanwhile, the Kuwait Investment Authority (KIA) and the Qatar Investment Authority (QIA) have pursued strategies that balance liquidity management with long-term global positioning (SWF Institute, 2025; OECD).

Lara is a third-year Business and International Relations student at IE university. Lara's international background has cultivated her interest in policy and economics. Her work examines the intersection of global markets, regional policy, and international political economy. She is a MENA Fellow for the NER.



Case Studies: Strategic Reorientation and Global Impact

The case of Saudi Arabia's Public Investment Fund (PIF) illustrates how sovereign wealth funds (SWFs) are repositioning themselves as both global investors and domestic development engines. Under Vision 2030, the PIF's assets have surged from USD 250 billion in 2018 to nearly USD 940 billion in 2025, with the fund targeting USD 1.5 trillion by the end of the decade (IMF, 2024). Internationally, the PIF has acquired strategic stakes in firms such as Lucid Motors and BlackRock's infrastructure platform, while domestically it finances "giga-projects" like NEOM and Qiddiya to diversify the Saudi economy beyond oil. This dual mandate underscores a growing convergence between global finance and national industrial policy.

The UAE's funds, notably ADIA and Mubadala, have followed a similar trajectory, emphasising global partnerships and thematic diversification. ADIA has redirected around 15% of its portfolio toward emerging markets and climate-linked assets, partnering with U.S. and European pension funds to co-finance green infrastructure (ADIA Review, 2024). Mubadala, meanwhile, has expanded into manufacturing and life sciences, shifting from passive asset accumulation to strategic global influence, particularly in the sustainability sector.

Qatar's Investment Authority (QIA) provides a distinct model, deploying its portfolio as a tool of "financial diplomacy." Following the 2017 Gulf diplomatic crisis, QIA deepened its exposure to Western blue-chip equities and European infrastructure, increasing stakes in Heathrow Airport and Volkswagen. This approach not only stabilised returns but also reinforced Qatar's geopolitical visibility within Western capital markets (OECD, 2024).

> "Gulf SWFs are now among the world's leading investors in alternative assets, with their exposure estimated to be about 45% higher than the global SWF average"

Taken together, these developments point to a broader shift in how global capital is being allocated. Gulf SWFs are now among the world's leading investors in alternative assets, with their exposure estimated to be about 45% higher than the global SWF average (Global SWF, 2025). Their increasing focus in green energy, logistics, and digital infrastructure is reshaping global investment patterns, channelling capital away from traditional developed market equities and toward more sustainable opportunities.

Policy Implications: Redefining Capital Allocation

The global implications of Gulf SWF diversification extends beyond investment returns. By reallocating surpluses into diverse asset classes, Gulf SWFs influence market liquidity, asset prices, and portfolio composition across institutional investors. This aligns with a broader trend of "sovereign capitalism," where state-owned capital actively shapes global markets (Clark et al., 2021).

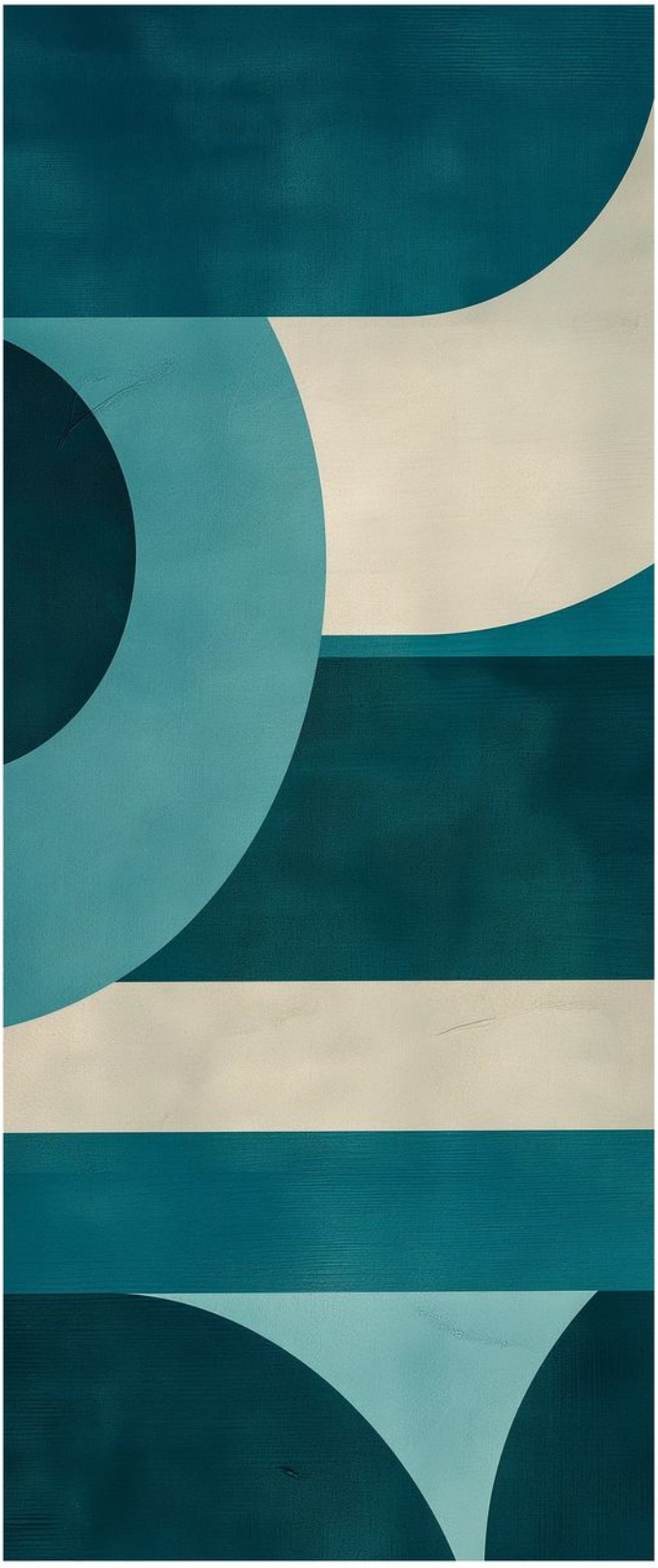
At the domestic level, successful diversification depends on robust governance, transparency, and risk management. The Santiago Principles – a set of guidelines established by the International Forum of Sovereign Wealth Funds (IFSWF) – provide a framework for accountability and long-term value creation, but their implementation varies across the region.

Strengthening institutional governance remains essential to ensure that diversification contributes sustainably to intergenerational wealth preservation rather than short-term fiscal expansionism.

Conclusion

Gulf sovereign wealth funds (SWFs) are at the crossroads of economic transformation and global financial change. Their diversification into renewable energy, digital infrastructure, private equity, and green finance represents a fundamental shift in how oil-dependent nations are utilising their surplus wealth in today's world of energy transition and growing market uncertainty. By investing in long-term, globally diversified assets, these funds are reducing their exposure to the volatility of the oil markets while also reshaping global investment trends.

Scan for References



Capital & **Development** *increasingly in* **Motion**

This section explores the shifting sands of capital and development, alongside insights from J.P. Morgan's Michael Harrison on Emerging Markets. From Argentina's search for sustainable growth and the deepening internationalisation of India's capital markets to Africa's struggle against illicit financial outflows, each piece examines growth and integration in an era of accelerating financial motion.

The Green Mirage: Argentina's Search for Sustainable Growth	35
Feature Q&A with Michael Harrison, Executive Director at J.P. Morgan in EMEA EM Local Markets Strategy	38
The Growing Internationalisation of India's Capital Markets	41
Brain Drain to Wealth Drain: Illicit Financial Flows in Africa	44
Hong Kong: The Gateway Between China and Global Capital	46



The Green Mirage: Argentina's Search for Sustainable Growth

Claire Ellis

Argentina has historically exhibited economic instability, accompanied by fluctuating levels of foreign direct investment inflows. Despite this persistent volatility, since taking office in 2023, President Javier Milei has sought to stabilize the economy and foster sustainable growth through comprehensive structural reforms. Among the various areas targeted by these reforms, the energy sector stands out for its potential to attract long-term investment and contribute to shaping macroeconomic stability. This article examines the impact of recent policy initiatives in Argentina's energy sector on shaping the country's foreign direct investment inflows.

Renewable Reform: The Road to RenovAR and RIGI

Argentina's shift toward focusing on foreign investment in the energy sector is relatively recent. Since the renationalization of Yacimientos Petrolíferos Fiscales (YPF) oil in 2012, and the subsequent negative impression it made on FDI, the country has focused in the past decade on attracting foreign investment into the energy sector through investor-friendly policies (González, Fariña, Gil, 2019).

This shift coincided with renewed global efforts to transition energy usage toward renewables. The foremost policy intertwining these efforts was Argentina's Renewable Energy Auction (RenovAR) established in 2016, a short-lived but popular auction program created by the Argentinian government to fund private renewable energy generation (IFC, 2025). The program was specifically created as an effort to incentivise investments and reach a goal of renewable energy accounting for 20% of total electricity demand (Alderete, 2025).

Strong investor interest in the first round of auctions inspired further auctions, and as of June 2025 the program has supported 180 renewable energy projects, totaling $11 billion in direct investment, and avoiding the creation of 44.7 million tons of carbon dioxide emissions (RELP, 2025). RenovAR illustrates Argentina's ability to launch large-scale renewable energy initiatives, but its short-lived success due to macroeconomic volatility opened the future possibility of a potentially more sustainable investor-friendly program – the Incentive Regime for Large Investments (RIGI).

Introduced as part of President Javier Milei's Bases Laws, an omnibus bill passed in 2024 focused on economic reform, RIGI provides an enhanced framework for protecting foreign and domestic investors across a range of industries. Unlike RenovAR, RIGI encompasses sectors beyond renewables, also incentivizing investments in mining, steel, oil and gas (UNCTAD, 2025; Curtis, 2025). While relatively recent, the regime is attractive to investors

Claire is a Fulbright Scholar at the LSE, where she is pursuing an MSc in Empires, Colonialism and Globalisation. Her work explores the economic legacy of colonialism, particularly within Latin America. She is a South America Fellow at the NER.



for its framework of long-term stability. Depending on the sector and size of the project, with investments over at least 200 million USD, investors are guaranteed 30-40 years of stability in corporate tax reduction, customs and currency exchange benefits. While the regime seeks to bolster the Argentine economy through expanding the kinds of sectors that can receive large-scale investments, the majority of proposed projects – worth a total of $11.8bn – are in energy (Argus, 2024).

The Dual Faces of Argentina's Investment Drive

The regime's broad scope and its intrinsic connection to the energy sector has attracted both hope for the future of Argentina's energy production and sharp criticism of a continued dependence on non-renewable energy sources. The expansion of investment opportunities beyond renewables has proven particularly popular: within one year of its implementation the regime received applications for 19 project proposals worth more than 30 Billion USD, 95 percent of which focus on mining and fossil fuels (Observatorio RIGI, 2025). Of the seven projects approved thus far only two focus on renewable energy: the state-owned YPF Luz El Quemado solar park project in Mendoza ($211 million), and Argentine PCR and Acindar Olavarría Wind Park project, worth $250 million.

For the mining industry, the regime represents an opportunity for investors to secure long-term stability in their projects in a traditionally volatile sector. The lowering of the mining tax rate from 47% to 38% further supports mining initiatives that drive Argentina's competition with its resource-rich neighbors, Peru and Chile, where rates remain in the mid-40s range (LatAm Investor, 2025).

The regime's fiscal incentives have so far inspired two major lithium mining investments: the British-Australian Rio Tinto mining corporation's Rincon project in the northern Salta province worth $2.5 billion, and the Australian Galan Lithium Limited's Hombre Muerto West project in the Catamarca province valued at $217 million – both of which have been approved (Sigal, 2025). The regime has not only incentivized investment into Argentina's existing critical mineral industries, but also opened pathways for further diversifying Argentina's energy sources. The country's 75.5 million tons of copper reserves, coupled with renewed investment interest, positions Argentina to be a top copper producer by 2030 (ITA, 2025).

Conclusion

Despite RIGI's success in stimulating foreign investment so far, its emphasis on extractive industries raises concerns over environmental sustainability and economic dependency. The central point of contention lies in its support of large-scale investments in extractive industries.

Although lithium and copper are important and increasingly popular in the global energy transition - given that they are used for the production of materials used to support renewable energy systems - they remain finite resources. Critics of the regime are not only concerned with its environmental sustainability because of the use of raw materials, but also with the po-

> The country's 75.5 million tons of copper reserves, coupled with renewed investment interest, positions Argentina to be a top copper producer by 2030

tential international dependency of Argentina's primary-export model (TNI, 2025).

One year since its implementation, and building partially upon the legacy of RenovAR, RIGI has established a comprehensive framework designed to mitigate Argentina's economic volatility. Its long-term effectiveness, however, will be tested in the years ahead. Moving forward, Argentina's challenge will be to balance the use of its natural resources to attract investment while advancing its role as a key contributor to the global green economy – an endeavor that will likely be shaped by upcoming elections.

Scan for References



J.P.Morgan

Every Year Is Different in EM
Exploring the Evolving Asset Class



Michael Harrison is an Executive Director at J.P. Morgan in EMEA EM Local Markets Strategy, based in London. He generates actionable EM rates trade ideas for clients ranging from hedge funds to real money accounts to pension funds. His focus includes interest rate swaps, local currency bonds and more exotic instruments like swaptions and cross-currency basis. Since joining the firm in 2014, Michael has also worked in New York (2017-19), contributing to wider EM thematic research. Michael studied Economics and Econometrics at the University of Nottingham between 2009 and 2012, and has an MSc Finance degree from Imperial College London.

You've worked across different roles in global finance, from fixed income risk at Schroders to over a decade in EM strategy at JPMorgan. What first attracted you to emerging markets, and what keeps the field exciting for you today?

I knew that I wanted to be in a macro-heavy role and apply the econometric skills I learnt at Nottingham to the real world, so emerging markets (EM) strategy at J.P. Morgan was a natural fit. One of the things that attracted me to EM was that it is an all-encompassing asset class – you have to know what is going on in developed markets like the US and the Euro Area, you need to be on top of commodities and China, plus be in the weeds of all your bottom-up stories. The chance to learn about all these areas of finance and become an expert in EM was very appealing.

The thing that keeps me in EM is that it is an ever-changing landscape, with many different types of countries within EM. Some of the markets I started covering in 2014 have seen remarkable growth (like Poland); some have dropped out of mainstream investment coverage (Russia); while there are new EMs entering the universe each year (there is a larger investor focus on frontier economies like Egypt, Nigeria, Uzbekistan and the Dominican Republic, to name a few). Every year is different in EM, which is fun!

Over your time at JPMorgan, rising from Associate to Executive Director, what have been the biggest changes you've observed in how EM is approached, both within banks and by the asset management industry more broadly?

The perception of EM has definitely changed. In the past, EMs were seen as a homogenous set of countries with bad current account deficits, high inflation

> "EM is an all-encompassing asset class – you have to know what is going on in developed markets, commodities, and be in the weeds of all your bottom-up stories"

and uncredible institutions. But a much more refined approach towards EM is now employed by banks and the asset management industry. Some EMs are closer to developed markets (e.g. Korea, Singapore); some can be seen as an extension of the Euro Area (Central Eastern European economies like Czechia, Hungary, Poland); others are still more classic high beta names like South Africa, Mexico and Brazil. This means that a 'one-size-fits-all' approach is not as useful these days for analysing EM.

Another change has been the 'mainstreaming' of some of EM. Some EMs have seen sharply rising foreign participation over the years, and they have been able to expand their product bases to things like interest rate swaps and overnight indexed swaps and enter global bond indices. This has improved market liquidity, price discovery and trading opportunities. EM was once seen as a 'niche' asset class; now it is becoming more mainstream with more people analysing it. That said, there are still more information asymmetries than in developed markets (which keeps people like myself in a job).

In your EM rates and FX work, you've built valuation frameworks that blend macro fundamentals with quantitative techniques. How do you adapt these frameworks as new forces, from geopolitical headwinds to evolving central-bank regimes, reshape traditional assumptions?

With some difficulty! EMs (and markets in generally) are evolving beasts and require nuance/ periodically re-evaluating models and frameworks. Beyond the standard things like re-running OLS models with more recent data to see if relationships are changing, sometimes more out-of-the-box thinking is required.

A good example is South Africa this year. The central bank shifted its inflation target from the middle of the 3-6% target band (i.e. 4.5%) to 3%. South Africa local bond yields fell sharply and now screen as 'expensive' on standard valuation frameworks. But in structural shifts, we need to think about what countries can look like and who they are comparable to. A practical example is that we used a k-means clustering algorithm on forward-looking macro forecasts to think about which countries South Africa looks like with a 3% inflation target, and how this could help guide our assessment of where the bond yields should be. This analysis suggested South Africa looked like a combination of Mexico, Poland, Hungary and Romania, which helped us form a view on where bond yields can go to.

On a more macro note, with the U.S. dollar facing greater volatility and questions about its long-term dominance, how are you seeing asset managers approach currency hedging in EM portfolios? Do you expect these strategies to evolve significantly with longer-term structural shifts in FX markets?

For EM portfolio managers, greater USD volatility and weakening has seen them reduce their EM FX hedges. FX-hedging of EM local fixed income portfolios is often expensive, so a reduction in EM FX hedges amid USD weakness has helped EM portfolio managers deliver higher total returns this year. This has the positive knock-on effect of attracting inflows to the EM fixed income asset class that has seen large outflows in recent years (flows tend to follow returns rather than the other way around).

> Some EMs have seen sharply rising foreign participation over the years, and they have been able to expand their product bases to things like interest rate swaps and overnight indexed swaps and enter global bond indices

As alluded to earlier, EMs are differentiated, so there are still times where short-term EM FX protection is needed in some countries, even if the medium-term trend is for USD weakness. One way that has become more attractive for portfolio managers to FX-hedge EM portfolios this year is to use FX options, as volatility has fallen sharply (a trend seen across assets), making them cheaper to buy.

Lastly, given the growing overlap between data-driven analysis and the need to connect insights across economics, finance, and politics, what skills have you gained that you would wish to impart to up-and-coming economists?

An important skill is to be able to think holistically about the world and understand how different markets and economic events connect. For example, your main focus may be on the Federal Reserve, but this is implicitly connected to what happens in the Middle East, insofar the impact on oil prices which impacts global inflation. So it is important to be open-minded, curious and to read news and books across disciplines like economics and politics. This will also help develop logical thought and reasoning, which is very important in asset management, global banking and broader finance.

In the age of ChatGPT, it is tempting to say that coding skills are not important, but this is not true. It is still important to be able to understand and apply coding at the junior level, a skill that is increasingly in focus in recent years. This is typically where there are skill gaps versus more senior employees. It is one thing to get a line of code from ChatGPT, but it is another thing to be able to understand what is the appropriate analysis to do and how code should be implemented to solve a problem or aid an analysis.

Finally, while you certainly do not need to be a quant to exceed in asset management or investment banking, markets do require quantitative analysis and numerical calculation. For those of you studying economics, I would encourage you to think about what you have learnt in theory and apply it practically. Not only will this help you get more out of your degree, but it will also be useful for interview prep, where the bar for economic knowledge is naturally going be to be higher than if you studied a different undergraduate degree.

We thank Michael Harrison for taking the time to share his insights with the Nottingham Economic Review.



The Growing Internationalisation of India's Capital Markets

Talha Ali

The global financial landscape of the 2020s is best described as a "fragmented world" beset by inflationary pressures, high interest rates, and geopolitical reordering (FTSE Russell, 2025). In this volatile environment, South Asia – and particularly India – has emerged as a conspicuous bright spot. The region is forecast to be the world's fastest-growing, with the World Bank (2024a) projecting robust growth driven by strong investment and consumption: as the FTSE claims, India is at a "profound inflection point" in its global financial role (FTSE Russell, 2025). This shift is not a temporary, cyclical phenomenon. Rather, it is the result of three deep, interconnected transformations: a new, deliberate blueprint for capital allocation; an evolving and complex framework for risk assessment; and a fundamental reshaping of cross-border financial flows, driven by the world's largest institutional investors.

The New Blueprint

South Asia's current economic trajectory is being built on a twin-engine model of capital allocation. The first engine is a massive, state-led public investment push. The Indian government has led this charge, significantly increasing capital Capex focused on foundational infrastructure like roads, railways, and logistics. This public spending has been a primary driver of their post-pandemic recovery.

However, multilateral institutions note that this model has its limits. Fiscal constraints and elevated public debt levels mean the private sector must become the primary engine of growth (World Bank, 2024b). Yet, this has activated the second engine: a deliberate "crowding in" of private capital.

This is occurring in two ways. First, government infrastructure spending organically creates demand and pulls in private investment in linked sectors like steel, cement, and logistics. Second, the government is strategically directing capital toward high-growth, modern sectors through programs like the Production Linked Incentive (PLI) scheme, which has successfully boosted investment in electronics and pharmaceuticals.

The World Bank (2024b) emphasizes that for South Asia to meet its vast investment needs, particularly in infrastructure, private capital is essential. Consequently, public-private partnerships (PPPs) and a more conducive regulatory environment to de-risk and attract private investment, especially for sustainable and green projects, is essential.

Evolving Frameworks for Risk Assessment

As South Asia's economies grow, the nature of risk assessment for asset managers has become far more complex. While traditional macroeconomic and credit risks

Talha is a Master's student in Peace and Justice at the University of San Diego, focused on development strategy, economic diplomacy, and institutional reform in South Asia. He is also a South Asia Fellow for the NER.



remain, they have been joined by acute systemic threats.

Credit rating agencies such as Moody's (2024) and S&P Global (2024b) note India's strong growth trajectory and stable outlook but continue to flag structural vulnerabilities – chief among them high government debt and persistent inflation. A key domestic concern, according to S&P Global, is elevated food price inflation. This challenge extends beyond monetary policy, reflecting deeper, long-term pressures linked to climate and environmental fragility.

In particular, climate risk has shifted from a peripheral ESG issue to a central determinant of financial stability. The region's acute vulnerability to climate change demands large-scale mobilisation of green finance to fund adaptation and mitigation. In South Asia, extreme weather events – ranging from floods to heatwaves – pose direct threats to agricultural output, exacerbating food inflation and constraining macroeconomic policy responses. As a result, institutional investors and asset managers must integrate climate exposure and resilience into their risk models, recognising that economic stability and environmental sustainability are now inseparable.

Internationalising Capital Markets

The most profound change in South Asia's financial architecture is the structural "internationalisation" of its capital markets, led by India. The catalyst for this shift has been the inclusion of Indian government bonds in major global emerging market indexes, such as the JP Morgan Government Bond Index for Emerging Markets (GBI-EM).

> "The most profound change in South Asia's financial architecture has been the structural "internationalisation" of its capital markets, led by India"

This is far more than a technical adjustment. As noted by FTSE, this development "signals a significant maturation of India's market infrastructure" and "unlocks a new, substantial, and diverse pool of capital." It fundamentally reshapes the nature of cross-border flows. Historically, emerging markets like India have been reliant on foreign portfolio investment (FPI) in equities, which can be notoriously volatile. These "hot money" flows often reverse quickly during periods of global stress, causing currency crises and financial instability.

The inclusion in global bond indexes changes that dynamic. It triggers massive inflows from a different class of institutional investors: passive, index-tracking asset managers. These funds, which manage trillions of dollars, now buy Indian sovereign debt to align their holdings with the indexes they track. The IMF (2024) projects these inflows to be substantial, potentially in the tens of billions of dollars.

Unlike active portfolio investments, passive institutional inflows are less prone to sudden reversals driven by shifts in global risk sentiment – hence often termed "sticky" capital. Their influence is structural rather than cyclical, creating a virtuous feedback loop that strengthens market resilience and broadens financial depth.

They do so in three key ways: first, they reduce volatility by providing a stable, long-term buyer base that anchors fixed income and currency markets. Second, they lower borrowing costs, as sustained demand for government securities helps ease fiscal pressures. And third,

they deepen domestic markets by integrating local capital: as foreign investors become a reliable source of demand for sovereign debt, domestic banks and institutions are freed to redirect capital toward private-sector lending and corporate bond issuance.

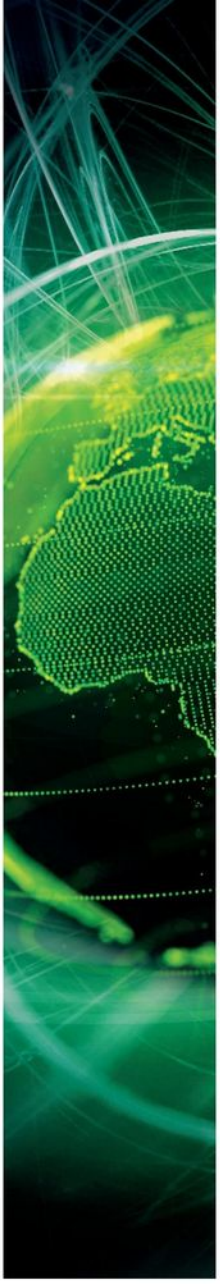
Due to these dynamics, this evolution marks a turning point in India's financial development. Major investment banks now maintain an "overweight" stance on India, citing structural reforms, robust earnings, and an increasingly stable financial base underpinned by this new generation of institutional flows.

Conclusion

Though the new inflows into the Indian economy will take time to materialise, the country is steadily building resilience by integrating complex risks such as climate change and inflation into its policy frameworks. Crucially, the inclusion of regional bonds in global indices will attract a new wave of long-term, passive institutional capital. However, this influx is not the end goal, but rather the enabler of a more stable and robust domestic financial system. It provides an anchor in the storm of global volatility and, by freeing domestic resources, unlocks the vast capital needed to fund the next generation of private-sector growth, firmly establishing the region as a core holding for global asset managers.

Scan for References





From Brain Drain to Wealth Drain: Illicit Financial Flows in Africa

Caleigh Plaatjes

Foreign aid has played an essential role in shaping Africa's development, with billions of dollars allocated to the continent each year. Often promoted as a crucial tool to combat poverty, tackle health crises and stimulate economic growth, its impact is contested. In development we speak about what countries need more of – more investment, more financing, more infrastructure, as well as better institutions and policies. However, it is equally as important to note what Africa needs less of: illicit financial flows and tax avoidance. These are crucial issues which drain the continent's resources for development and its capacity to live in a peaceful and secure environment.

Illicit financial flows (IFFs) undermine development not only through capital outflows but also through inflows that fuel money laundering and corruption, eroding the rule of law and destabilising markets. This report examines the far-reaching impact of IFFs, highlighting how the wealth lost through these illicit movements dwarfs foreign aid, exceeds debt relief, and in many cases surpasses the value of foreign direct investment (FDI) itself.

What are IFFs?

Illicit financial flows (IFFs) are broadly defined as movements of money and assets across borders which are illegal in source, transfer or use (UNCTAD, 2020). These outflows include capital flight, tax and commercial practices like mis-invoicing of trade shipments, and criminal activities such as illegal markets, corruption or theft. It is estimated that 65% of IFFs originate from multinational companies' commercial activities through transfer mispricing, trade misinvoicing, tax treaty shopping and unequal contracts (Cilliers and Yeboua, 2025). The remaining 35% is linked to criminal activity by government officials, including bribery, theft of state assets and embezzlement. In all these instances, crucial public revenues are diverted for the private gain of individuals and multinational entities (Cilliers and Yeboua, 2025).

The Far-Reaching Impact of IFFs

Some argue that IFFs should be measured only when they stem from clearly illegal activities such as organised crime or drug trafficking. However, this view overlooks a substantial part of the problem. Consider, for instance, aggressive tax avoidance – often categorised under Base Erosion and Profit Shifting (BEPS) strategies. These involve exploiting gaps and mismatches in international tax rules to make profits "disappear" or to shift them to jurisdictions with minimal real activity. The result is significantly reduced tax liabilities, allowing multinational corporations to pay little or no corporate tax overall (Cilliers and Yeboua, 2025).

Caleigh is an MCom student at the University of Cape Town. She has led research across the continent, and previously held a fellowship with the Yale Foreign Policy Initiative. She is and Africa Fellow for the NER.



These practices are technically legal, yet their consequences are deeply harmful. When a company uses complex accounting mechanisms to shift profits from a developing country to a tax haven, the effect on that country's schools, hospitals, and public infrastructure is indistinguishable from that of outright illicit outflows. Many developing nations lose, through these "legal" but damaging practices, a substantial share of the revenue they gain from development finance. In countries already struggling to provide essential services, these losses can mean the difference between functional institutions and systemic failure. Simialrly, for economies facing chronic underinvestment in human capital, such outflows not only perpetuate present deprivation but also erode future productive capacity.

Across Sub-Saharan Africa, the extractive industries – oil, gas, and mining – constitute the majority of FDI inflows. Yet, research consistently shows that resource rich countries also record some of the highest illicit outflows relative to GDP. The Democratic Republic of Congo, Angola, Nigeria, and South Africa have all suffered substantial capital flight despite significant foreign investment in their resource sectors.

In Nigeria, for example, the oil industry has attracted tens of billions in foreign investment over the decades, yet the country is estimated to have lost around USD 300 billion to illicit flows since independence (Cilliers and Yeboua, 2025). Much of this leakage occurs through mechanisms designed to facilitate FDI itself – complex joint ventures and offshore service contracts that enable price manipulation and profit shifting.

Illicit flows also exacerbate inequality by disproportionately benefiting the wealthy and well-connected, who have the means to exploit offshore structures. When corporations and elites externalise income while ordinary citizens bear the full tax burden, inequality deepens, undermining both social cohesion and political stability. Governments unable to collect fair revenue from those most able to pay often resort to regressive measures – such as sales taxes, consumption duties, and service fees – that disproportionately affect poorer households. The result is a tax system that entrenches inequality rather than alleviating it, perpetuating a cycle of dependency.

Conclusion

The current relationship between FDI and development in many emerging countries resembles extraction more than partnership. While foreign investment can and should serve as a catalyst for growth, its developmental potential is undermined when the same mechanisms that facilitate investment also enable large-scale capital flight through illicit channels. The promise of FDI as a tool for sustainable development can only be realised when investment is accompanied by robust governance and regulatory safeguards that ensure the wealth generated remains where economic activity takes place.

Scan for References

> "65% of IFFs originate from multinational companies' commercial activities via transfer mispricing, trade misinvoicing and unequal contracts"



Hong Kong: The Gateway Between China and Global Capital

Ayushi Thakur

Each morning in Hong Kong's Central district, investment bankers from bankers from London and New York stand beside wealth managers from Shanghai and Shenzhen – a reflection of the city's dual identity as both an international hub and a mainland gateway. That duality is a crucial part of Hong Kong's growth. The Securities and Futures Commission's 2024 survey reports that Hong Kong's asset and wealth management industry expanded by 13% to HKD 35.1 trillion (USD 4.5 trillion), with net inflows jumping 81% to HKD 705 billion (SFC, 2025). In the first half of 2025 alone, listings on the Hong Kong Stock Exchange raised over HKD 100 billion, putting the city ahead of New York and Shanghai in IPO fundraising (HKMA, 2025).

Yet these successes also come amid a gradual realignment. The centre of gravity in Hong Kong's financial system is shifting from serving as a neutral crossroads of global capital to acting as an extension of China's economic architecture. Increasingly, the city's growth depends less on its traditional openness to the West and more on the flow of mainland capital, policy coordination, and the deepening integration of its markets with those across the border.

The Middleman's Dilemma

Hong Kong's exchange has become the primary gateway for mainland capital and issuers. Mainland-related firms now dominate listings and primary market activity, driving much of the recent IPO pipeline (HKEX, 2024). Geopolitical tensions and tighter U.S. listing requirements have accelerated this trend, pushing major Chinese corporates to raise funds closer to home. In May 2025, for instance, battery giant Contemporary Amperex Technology Co. (CATL) raised about US$4.6 billion through a Hong Kong share sale (Reuters, 2025).

The result is a market that offers global investors unrivalled access to China's growth story, yet also deeper exposure to the political and regulatory structures of Beijing. Hong Kong's role as the world's largest offshore renminbi (RMB) hub further anchors this dependence. The city processes roughly 75% of global offshore RMB settlements, according to SWIFT's 2025 tracker, positioning it as the linchpin of cross-border RMB liquidity. That dominance cements Hong Kong's function as China's principal financial interface with the world.

But capital is not only flowing through institutions; it is also moving through individuals. As mainland financial integration deepens, a parallel wave of private wealth is relocating southward, transforming Hong Kong into both a financial and familial safe haven. A Deloitte study (commissioned for InvestHK) estimated around 2,700 single-fam-

Ayushi is an Economics and Finance student at Queen Mary University of London, where she serves as Vice President & Treasurer of the Investment & Trading Society. She has taken part in insight weeks at HSBC and Morgan Stanley, alongside policy work with public sector NGOs. She is Indo–Pacific Fellow for the NER.



ily offices in Hong Kong by the end of 2023, with mainland ultra-high-net-worth (UHNW) families driving much of the expansion (Deloitte, 2024). Mainland households also hold vast domestic savings – official statistics put household deposits above RMB 150 trillion at the end of 2024 – meaning even a modest share seeking offshore diversification represents an immense pool of investable capital (National Bureau of Statistics of China, 2025). Hong Kong's tax, residency, and wealth-management incentives are designed to capture that flow, creating major opportunities – and rising concentration – for asset managers.

This influx of private capital demands a more sophisticated financial infrastructure with innovation being the next strategic frontier. Consequently, Hong Kong has pushed assertively into fintech, tokenisation, and regulated digital-asset activity. The HKMA reported that banks' digital-asset and tokenised-asset transactions reached HKD 26.1 billion in July 2025 – a roughly 233% year-on-year increase – and regulators have since authorised banks to distribute digital products and provide custody services for tokenised securities (HKMA, 2025). These initiatives aim to reinforce the city's competitiveness against regional rivals and reassert its position as Asia's financial laboratory.

However, these developments unfold in a political climate increasingly defined by regulation, data control, and national security imperatives. Since the 2020 National Security Law, Hong Kong's administrative alignment with Beijing has deepened, raising questions about legal predictability and institutional autonomy (CFR, 2025). Meanwhile, financial centres such as Singapore and several ASEAN jurisdictions are tightening transparency standards and positioning themselves as alternative hubs for fund domiciliation and regional structuring (East Asia Forum, 2025). While Hong Kong offers cutting-edge financial infrastructure and unparalleled access to mainland markets, the spectre of Chinese governance framework compels investors to weigh the opportunities astutely.

Can the Bridge Hold?

For decades, Hong Kong has offered a rare combination of deep markets, legal sophistication, and direct access to China's capital – advantages that few global centres can replicate. Yet these same strengths face mounting exposure from mainland policy, geopolitical tensions, and the steady pull of regulatory convergence with Beijing.

Three forces will define the city's next chapter: the pace and openness of China's growth and capital-flow regime; the trajectory of U.S.–China relations and its effect on market sentiment; and Hong Kong's capacity to preserve the institutional quality that anchors investor trust. Hong Kong's balancing act between innovation and control is a structural feature of its place in global finance – how investors navigate this evolution will determine not only where Asia's wealth is managed, but where the world's capital places its bets in an increasingly fragmented order.

Scan for References



“For decades, Hong Kong has offered a rare combination of deep markets, legal sophistication, and direct access to China's capital – advantages that few global centres can replicate”



© Nottingham Economic Review 2025
For inquiries: nottinghameconomicreview@gmail.com
Website: nottinghameconomicreview.com